

Calendar Line 3

Case Name: Ruthann Deadmond v. Ford Motor Company et al.

Case No.: 24CV453591

This is an action under the Song-Beverly Consumer Warranty Act originally brought by plaintiff Ruthann Deadmond (Plaintiff) against defendants Ford Motor Company (Ford), Jim Charlon Ford, Inc., and Doe defendants. The lawsuit is based on Plaintiff's purchase of a 2021 Ford Escape (subject vehicle) in December 2021. As part of the purchase, Plaintiff entered into a warranty contract with Ford.

The original and still operative complaint was filed in December 2024. It alleges six causes of action: (1) violation of Civil Code section 1793.2, subdivision (d) (against Ford only); (2) violation of Civil Code section 1793.2, subdivision (b) (against Ford only); (3) violation of Civil Code section 1793.2, subdivision (a)(3) (against Ford only); (4) breach of the implied warranty of merchantability (against Ford only); (5) negligent repair (against Jim Charlon Ford only); and (6) fraudulent inducement—concealment (against Ford only). A copy of the warranty agreement is attached to the complaint as exhibit A.

The complaint alleges that unspecified “[d]efects and nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to, engine defects, transmission defects, electrical defects; among other defects and nonconformities.” (Complaint, ¶ 12.) Ford answered the complaint in January 2025. Plaintiff later dismissed Jim Charlon Ford from the case. As a practical matter, that also functioned as a dismissal of the fifth cause of action because it was alleged against only Jim Charlon Ford.

At issue is Ford's motion for summary judgment, filed in May 2026, opposed by Plaintiff. This case is currently set for trial on September 14, 2026. For the reasons stated here, the court will grant the motion.

LEGAL STANDARD—SUMMARY JUDGMENT

The pleadings limit the issues presented for summary judgment or summary adjudication. Such a motion may not be granted or denied based on issues not raised by the pleadings. (*Laabs v. City of Victorville* (2008) 163 Cal.App.4th 1242, 1258 (*Laabs*); *Nieto v. Blue Shield of Calif. Life & Health Ins.* (2010) 181 Cal.App.4th 60, 73 (*Nieto*).) The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850 (*Aguilar*).) A motion for summary judgment or adjudication shall be granted only if it completely disposes of an entire cause of action, an affirmative defense, a claim for damages, or an “issue of duty.” (Code Civ. Proc., § 437c, subd. (f)(1); *McCaskey v. California State Auto. Ass'n* (2010) 189 Cal.App.4th 947, 975; *Palm Spring Villas II Homeowners Association, Inc. v. Parth* (2016) 248 Cal.App.4th 268, 288.)

“A defendant seeking summary judgment must show that at least one element of the plaintiff's cause of action cannot be established, or that there is a complete defense to the cause of action.” “The burden then shifts to the plaintiff to show there is a triable issue of material fact on that issue.” (*Alex R. Thomas & Co. v. Mutual Service Casualty Ins. Co.* (2002) 98 Cal.App.4th 66, 72; internal citations omitted.) “There is a triable issue of material fact if, and only if, the evidence would allow a reasonable finder of fact to find the underlying fact in favor

of the party opposing the motion in accordance with the applicable standard of proof.” (*Aguilar, supra*, 25 Cal.4th at p. 850.) While the same standards of admissibility govern both sides’ supporting evidence, the opposition evidence is liberally construed while the moving party’s evidence is strictly construed. (*Saelzler v. Advanced Group 400* (2001) 25 Cal.4th 763, 768.) The evidence must be liberally construed in support of the opposing party, resolving any doubts in favor of that party. (*Yanowitz v. L’Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1037 (*Yanowitz*).)

A reply “shall not include any new evidentiary matter, additional material facts, or separate statement submitted with the reply and not presented in the moving papers or opposing papers.” (Code Civ. Proc., § 437c, subd. (b)(4); *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-38; *Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 252.)

DISCUSSION

Ford moves for summary judgment, and alternatively for summary adjudication of each cause of action alleged against it.

First and Fourth Causes of Action

Ford contends that both the first cause of action for violation of Civil Code section 1793.2, subdivision (d), and the fourth cause of action for breach of the implied warranty of merchantability fail for the same reason—Plaintiff failed to present the subject vehicle for even a single “warranty complaint” repair. (See notice of motion at p. 1:7-10 and 18-20.)

As to the first cause of action, a vehicle manufacturer who has made an express warranty is obligated (through its authorized representative) to repair any nonconformities covered by that warranty that substantially impair the use, value, or safety of the vehicle within a reasonable number of repair attempts. (Civ. Code, § 1793.2.) If the manufacturer or its representative fails to do so, the manufacturer “shall either replace the [vehicle] or reimburse the buyer in an amount equal to the purchase price paid by the buyer, less that amount directly attributable to use by the buyer prior to the discovery of the nonconformity.” (Civ. Code, § 1793.2, subd. (d).)

A plaintiff pursuing an action for breach of express warranty under the Song-Beverly Consumer Warranty Act has the burden to establish: (1) the vehicle had a nonconformity covered by the express warranty that substantially impaired the use, value or safety of the vehicle; (2) the vehicle was presented to an authorized representative of the manufacturer of the vehicle for repair of a nonconformity; and (3) the manufacturer or his representative did not repair the nonconformity after a reasonable number of repair attempts. (Civ. Code, § 1793.2; *Oregel v. American Isuzu Motors, Inc.* (2001) 90 Cal.App.4th 1094, 1101 (*Oregel*).)

The fourth cause of action is not alleged as a violation of the Song-Beverly Consumer Warranty Act. But it is expressly based on the Act, as shown by its references to Civil Code sections 1791.1, 1794, and 1794.5. (See complaint at ¶¶ 40-44.) “Under the implied merchantability warranty, ‘every sale of consumer goods that are sold at retail in this state shall be accompanied by the manufacturer’s and the retail seller’s implied warranty that the goods are merchantable.’” (*Brand v. Hyundai Motor America* (2014) 226 Cal.App.4th 1538, 1545,

quoting Civ. Code, § 1792.) “The warranty “arises by operation of law” and therefore applies despite its omission from a purchase contract.” (*Id.*) “Merchantability, as pertinent here, means that the goods ‘[p]ass without objection in the trade under the contract description,’ and are ‘fit for the ordinary purposes for which such goods are used.’” (*Ibid.*, quoting Civ. Code, § 1791.1, subd. (a).) To assert a breach of implied warranty claim properly, a plaintiff must allege a breach of warranty, occurring while the warranty is valid, and bring suit within the limitations period. (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1306 (*Mexia*)). The “implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale.” (*Id.* at p. 1304.) Thus, if a product is sold with a latent defect, the implied warranty is breached “by the existence of the unseen defect, not by its subsequent discovery.” (*Id.* at p. 1305.) Under Civil Code section 1791.1, subdivision (c), the duration of the implied warranty “shall be coextensive in duration with an express warranty,” but “in no event” shall it “have a duration of less than 60 days nor more than one year following the sale of new consumer goods to a retail buyer.”

Neither the first nor the fourth cause of action identifies any specific defect (latent or otherwise) in the subject vehicle that violated a warranty provision. (See complaint at ¶¶ 26-31 and 40-44.) Nor do any prior allegations incorporated by reference.

Ford’s argument on this point depends on exhibits C-E to the declaration of Trina Clayton, counsel for Ford, and the declaration of Jonathan Clarke, an engineer employed by Ford who is currently a Design Analysis Engineer in the Automotive Safety Office. (See Ford undisputed material fact (UMF) no. 8, citing exhibits C-E and paragraph 15 of the Clarke declaration).

Clarke describes exhibits C-E, copies of service records for three occasions the subject vehicle was brought in for service, April 26, 2022, September 21, 2022, and May 21, 2023. Those visits were for proactive recalls for: (1) right hand engine oil water separator; (2) front brake pad replacement; and (3) drain tube and PCM program. Clarke declares that each “repair order reflects that the Subject Vehicle was not experiencing any condition related to the recall’s issuance at the time the recall was performed. Rather, the recall was completed proactively and in the absence of corresponding concern.” (Clarke Decl., ¶ 15.)

That evidence is sufficient to meet Ford’s initial burden as to these two causes of action. When a lemon law plaintiff alleges breach of an express warranty, courts have determined that repairs performed pursuant to manufacturer recalls or service action campaigns do not establish the required nonconformity element of the claim unless the plaintiff pleads and proves that the subject vehicle actually suffered from the defects that were the aim of those recalls and service action campaigns. (See, e.g., *Gutierrez v. Carmax Auto Superstores Cal.* (2018) 19 Cal.App.5th 1234, 1248; *McGee v. Mercedes-Benz USA, LLC* (S.D. Cal. 2020) 612 F.Supp.3d 1051, 1059; *Adams v. FCA US LLC* (C.D. Cal. 2016) 2016 U.S. Dist. LEXIS 188899, *15-16 [“[B]ecause Plaintiff experienced no defect in her Jeep, only potential defects that were the subject of the recall notices (and before any defect manifested), Plaintiff cannot satisfy the nonconformity element” of her breach of express warranty claim under the Song-Beverly Act].) Because Plaintiff never brought the subject vehicle in for service of any warranty defect within one year of sale, she also cannot show a breach of the implied warranty of merchantability.

The burden then shifts to Plaintiff. On the first cause of action, the opposition contends that paragraphs 7-8 of Plaintiff's declaration and Plaintiff's exhibits C and D show that triable issues remain. (See opposition at p. 4:20-21.) But paragraphs 7 and 8 of Plaintiff's declaration are lacking in detail. They state:

7. I presented the Vehicle to Ford's authorized repair facility, Jim Charlon Ford, Inc., on several occasions for warranty repair of these defects. A true and correct copy of the repair orders is attached as Exhibit C to the Attorney Declaration.

8. In addition to the above repair visits, I also presented the Vehicle to the dealership for service related to manufacturer recalls affecting the Vehicle. A true and correct copy of the recall orders is attached as Exhibit D to the Attorney Declaration.

(Plaintiff's declaration in opposition to the motion.)

The reference to "these defects" is a reference to paragraph 6 of Plaintiff's declaration, which states that the Subject Vehicle suffered from "hesitation on acceleration and jerking," "illumination of the check engine light and a fuel injector leaking oil onto the engine," "sudden automatic breaking without cause, illumination of various dashboard warning lights and brake system malfunctions." None of those defects are alleged in the first and fourth causes of action, or anywhere else in the complaint.

There are no exhibits C or D to any "Attorney Declaration." The only declaration from an attorney in opposition to the motion, from Shaneela Marlett, references only attached exhibits E and F. There are documents attached to Plaintiff's declaration with cover pages designating them as exhibits A-D. Those documents are arguably unauthenticated because Plaintiff's declaration makes no reference to any exhibits attached to her own declaration, and instead refers only to exhibits to an "Attorney Declaration." (Evid. Code, § 1401(a) ["Authentication of a writing is required before it may be received into evidence."].)

Assuming for purposes of argument that they can be considered authenticated and admissible, exhibits C and D to Plaintiff's declaration do not raise any triable issue as to the first or the fourth cause of action. Exhibit C consists of copies of records from four times the subject vehicle was brought in for service. Three of those occasions, April 26, 2022, September 21, 2022, and May 21, 2023, are the same visits described in the Clarke declaration for proactive recalls. The fourth visit, on July 25, 2023, was to a dealership in Oklahoma to have a tire that had developed a bubble replaced. Exhibit D consists of multiple copies of the proactive recall notices.

The complaint does not allege that the subject vehicle experienced any defects relating to the right hand engine oil water separator (the April 26, 2023 recall), the front brake pad (the September 21, 2022 recall), or the drain tube or PCM program (the May 21, 2023 recall). The first and fourth causes of action fail to identify any specific defect, much less a defect the subject vehicle actually had that was covered by an express warranty provision. "Declarations in opposition to a motion for summary judgment are not a substitute for amending the pleadings to raise additional theories of liability." (*Nativi v. Deutsche Bank National Trust Co.* (2014) 223 Cal.App.4th 261, 290 (*Nativi*), internal citation omitted; see also *California Bank & Trust v. Lawlor* (2013) 222 Cal.App.4th 625, 637, fn. 3 (*Lawlor*) ["[a] party may not oppose a summary judgment motion based on a claim, theory, or defense that is not alleged in the

pleadings,” and “[e]vidence offered on an unpleaded claim, theory, or defense is irrelevant because it is outside the scope of the pleadings”].)

Plaintiff’s declaration and the opposition fail to describe anything resembling the experience of the plaintiffs in *Oregel, supra*, 90 Cal.App.4th 1094, or *Schreidel v. American Honda Motor Co.* (1995) 34 Cal.App.4th 1242, decisions cited in the opposition. (Opposition at p. 5:4-14.) The consumers in those cases experienced persistent problems with their vehicles that the authorized repair facilities never repaired. In *Oregel*, the plaintiff began experiencing an oil leak almost immediately after leasing the vehicle. No authorized repair facility was ever able to fix it. The plaintiff’s homeowner’s association and work colleagues notified him of the ongoing oil leak that continued despite repeated visits to authorized repair facilities. Eventually, the plaintiff stopped using the car entirely and kept it in his garage. (*Oregel*, at pp. 1098-1099.) The facts in *Schreider* are similar: the plaintiff’s manual transmission vehicle would not shift, causing that plaintiff to experience long stalls on the freeway. The authorized repair facility was never able to repair the vehicle, and the plaintiff eventually traded it in (after which Honda replaced the clutch to prepare it for resale). (*Schreider*, at pp. 1247-1248.)

The opposition also fails to raise any triable issue as to the fourth cause of action. (See opposition at pp. 7:1-8:3.) The fourth cause of action fails to allege that the subject vehicle had any identified latent defect, and Ford’s evidence shows that it was ever brought in for any kind of service that could reasonably be considered service for a latent defect. The opposition fails to respond to the argument being made.

Summary adjudication of the first and fourth causes of action is granted.

Second Cause of Action: Civil Code Section 1793.2, subdivision (b)

Civil Code section 1793.2, subdivision (b), states:

Where those service and repair facilities are maintained in this state and service or repair of the goods is necessary because they do not conform with the applicable express warranties, service and repair shall be commenced within a reasonable time by the manufacturer or its representative in the state. Unless the buyer agrees in writing to the contrary, the goods shall be serviced or repaired so as to conform to the applicable warranties within 30 days.

The second cause of action consists of boilerplate allegations that do not identify any service visit or visits that collectively took more than 30 days. (See complaint at ¶¶ 32-36.)

Ford’s argument against the second cause of action is essentially the same as that made against the first and fourth: because the subject vehicle was never taken into service for a warranty complaint repair, no such repair took longer than 30 days. Ford’s evidence, the Clayton and Clarke declarations, is sufficient to meet its burden to show that the subject vehicle was seen for service in California only for proactive recalls, and for a total of no more than 8 days. (See UMFs 1-8.)

When the burden shifts, Plaintiff is unable to raise any triable issue of material fact. As already discussed, even assuming the documents attached to Plaintiff’s declaration are

admissible, they are not evidence that the subject vehicle was ever taken in for service in California for a warranty complaint repair.

Summary adjudication of the second cause of action is granted.

Third Cause of Action: Civil Code Section 1793.2, subdivision (a)(3)

Civil Code section 1793.2, subdivision (a)(3) states:

Every manufacturer of consumer goods sold in this state and for which the manufacturer has made an express warranty shall ... [m]ake available to authorized service and repair facilities sufficient service literature and replacement parts to effect repairs during the express warranty period.

The third cause of action fails to identify any occasion in which the Subject Vehicle was bought in “to effect repairs” where sufficient literature and parts were not available. (See complaint at ¶¶ 37-39.)

Ford’s evidence, the Clayton and Clarke declarations, establishes that the records from the April 26, 2022, September 21, 2022, and May 21, 2023, proactive recall visits do not support the third cause of action. Ford also argues that Plaintiff has no evidence to support it based on her factually devoid discovery responses. To obtain summary judgment or adjudication on the basis that a plaintiff has no evidence to establish an essential element of a claim a moving defendant must support such a motion with discovery admissions or other admissible evidence following extensive discovery showing that “plaintiff does not possess, and cannot reasonably obtain, needed evidence.” (*Aguilar, supra*, 25 Cal.4th at pp. 854-855.) It is not enough for a moving defendant to show merely that a plaintiff currently “has no evidence” on a key element of plaintiff’s claim. The moving defendant must also produce evidence showing plaintiff cannot reasonably obtain evidence to support that claim. (*Gaggero v. Yura* (2003) 108 Cal.App.4th 884, 891, citing *Aguilar* [“the absence of evidence to support a plaintiff’s claim is insufficient to meet the moving defendant’s initial burden of production. The defendant must also produce evidence that the plaintiff cannot reasonably obtain evidence to support his or her claim.”].) “Such evidence may consist of the deposition testimony of the plaintiff’s witnesses, the plaintiff’s factually devoid discovery responses, or admissions by the plaintiff in deposition or in response to requests for admission that he or she has not discovered anything that supports an essential element of the cause of action.” (*Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 110.)

Ford’s evidence on this point, Plaintiff’s October 2025 responses to written discovery, is sufficient to meet its initial burden to show that Plaintiff has no evidence to support the third cause of action’s vague allegations. (See UMF 14; exhibit F to the Clayton declaration.)

When the burden shifts, Plaintiff is unable to raise any triable issues of material fact. The opposition’s contends that Plaintiff’s declaration raises triable issues. But the purported defects listed in Plaintiff’s declaration are untethered to any allegations actually made in the complaint. (*Nativi, supra*, 223 Cal.App.4th at p. 290; *Lawlor, supra*, 222 Cal.App.4th at p. 637, fn. 3.) That parts needed for proactive recalls may not have been immediately available when notices went out also does not raise a triable issue because proactive recalls are not warranty repairs. And the complaint does not allege that the subject vehicle actually

experienced any defects relating to the right hand engine oil water separator (the April 26, 2023 recall), the front brake pad (the September 21, 2022 recall), or the drain tube or PCM program (the May 21, 2023 recall).

Summary adjudication of the third cause of action is granted.

Sixth Cause of Action: Fraudulent Inducement—Concealment

“The elements of fraudulent concealment are: (1) the defendant concealed or suppressed a material fact; (2) the defendant was under a duty to disclose the fact to the plaintiff; (3) the defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if the plaintiff had known of the concealed or suppressed fact; and (5) as a result of the concealment or suppression of the fact, the plaintiff sustained damage.” (*Burch v. CertainTeed Corp.* (2019) 34 Cal.App.5th 341, 348, citing *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 310-311 (*Bigler*).) “With respect to concealment, there are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. The latter three circumstances presuppose the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. This relationship has been described as a transaction, such as that between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement.” (*Id.* at pp. 349-350, internal quotations and citations omitted.)

The sixth causes of action alleges that the subject vehicle suffered from an “Engine Defect” (described for the first time in the sixth cause of action) that Ford knowingly failed to disclose to Plaintiff. (See complaint at ¶¶ 50-79.)

Ford contends that Plaintiff has no evidence that the subject vehicle had an engine defect; that Ford had any knowledge of such a defect in the subject vehicle prior to Plaintiff’s purchase; or that Ford failed to disclose such a defect. Ford’s evidence is sufficient to meet its initial burden on this point. The three service records indicate that the Subject Vehicle was never brought in for service for the alleged “Engine Defect” or for any other engine trouble. Plaintiff’s factually devoid responses to written discovery indicate that she has no evidence to support the sixth cause of action’s allegations. (See UMFs 8, 9, 10, 11, 12, 13, and 15, as well as the Clarke and Clayton declarations.)

When the burden shifts, Plaintiff is unable to raise any triable issue of material fact on this point. The Marlett declaration (and attached exhibits E and F) does not raise any triable issue as to whether the subject vehicle in fact had any defect, much less that Ford had knowledge of an “Engine Defect” in that particular vehicle that it failed to disclose to Plaintiff before purchase.

Plaintiff’s own declaration also fails to raise any triable issues of material fact as to the existence of an “Engine Defect” in the subject vehicle, Ford’s knowledge, or concealment. Her declaration is irrelevant to the extent that it seeks to raise issues not alleged in the complaint.

(*Nativi*, *supra*, 223 Cal.App.4th at p. 290; *Lawlor*, *supra*, 222 Cal.App.4th at p. 637, fn. 3.) Plaintiff's declaration is also disregarded to the extent it contradicts her factually devoid discovery responses. (*Shin v. Ahn* (2007) 42 Cal.4th 482, 500, fn. 12 ["a party cannot create an issue of fact by a declaration which contradicts his prior discovery responses."]) Assuming for purposes of argument that they are properly authenticated and admissible, the documents attached to Plaintiff's declaration do not provide any support for the sixth cause of action. The exhibits actually contradict Plaintiff's statement that the subject vehicle was brought in for service of an engine defect or any other warranty issue.

Summary adjudication of the sixth cause of action is granted.

OBJECTIONS TO EVIDENCE

Objections to evidence made in connection with a motion for summary judgment or adjudication must comply with California Rules of Court, rule 3.1354. "Unless otherwise excused by the Court on a showing of good cause, all written objections to evidence in support of or in opposition to a motion for summary judgment must be served and filed at the same time as the objecting party's opposition or reply papers are served and filed." (Cal. Rules of Court, rule 3.1354(a).) An objecting litigant must file two documents, evidentiary objections and a separate proposed order on the objections. Both documents must be in one of the two approved formats set forth in the rule. Courts are not required to decide objections that do not fully comply with the rule. (See *Vineyard Spring Estates v. Super. Ct.* (2004) 120 Cal.App.4th 633, 642 [trial courts only have a duty to rule on evidentiary objections presented in proper format]; *Hodjat v. State Farm Mutual Automobile Ins. Co.* (2012) 211 Cal.App.4th 1.) "Objections to evidence that are not ruled on for purposes of the motion shall be preserved for appellate review." (Code Civ. Proc., § 437c, subd. (q).)

Ford has submitted objections to Plaintiff's declaration and the declaration of Shaneela Marlett with its reply. Because those objections do not comply with California Rules of Court, rule 3.1354, the court does not decide them.

CONCLUSION

Ford's motion for summary adjudication of the complaint's first, second, third, fourth and sixth causes of action is granted. Ford is ordered to lodge a proposed judgment.

The September 14, 2026, trial date and all other future court dates are vacated.

The court will prepare the order.

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Calendar Line 4

Case Name: Ryan Roubal v. Curt Frieden et al.

Case No.: 25CV461754

Plaintiff Ryan Roubal's motion to compel further responses to requests for production of documents, set one, against defendant Everflow Technologies Inc (Everflow). Notice is proper and the motion is opposed by Everflow. Plaintiff sued Everflow and others, alleging among other things causes of action for whistleblower retaliation and wrongful termination. Four requests for production are at issue: Nos. 55, 56, 57, and 60.

Parties are generally entitled to "discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action or to the determination of any motion made in that action, if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence." (Code Civ. Proc., § 2017.010.)

Issues Relevant to All Four Requests

Everflow made an initial production of documents as well as supplemental productions. Everflow Bates stamped the documents it produced, but later decided to reduce and renumber the pages. That led to multiple documents having the same Bates number. Everflow's productions also fail to identify the "specific request number to which the documents respond." (Code Civ. Proc., § 2031.280, subd. (a).)

Everflow asserted objections under Federal Rule of Civil Procedure 34. That objection is unwarranted because this is not federal court. Everflow asserted objections based on attorney-client privilege, but did not provide the required privilege log or other "sufficient factual information for other parties to evaluate the merits of that claim." (Code Civ. Proc., § 2031.240, subd. (c)(1).) And Everflow's vagueness and overbreadth objections are without merit.

Everflow cites an unpublished California trial court decision as support for an argument in the opposition. Unpublished California decisions cannot be cited.

Request for Production No. 55: This request seeks documents related to plaintiff's complaints about Everflow's compliance with SOC 2 standards. Everflow's response is inconsistent. Everflow states that no responsive documents exist following a diligent search. But Everflow also asserts that the request "seeks documents protected from disclosure by the attorney-client privilege and/or attorney work-product doctrine." Plaintiff also argues in reply that he identified a specific July 2024 Slack conversation with Emma Rogers and a legal contractor David Steckbeck that Everflow has not produced. GRANTED. Everflow must provide a further response that resolves the inconsistency and produces all documents responsive to the request. If Everflow withholds documents under a claim of privilege, it must provide a privilege log.

Request for Production Nos. 56 and 57: These requests seek documents referring or relating to: (No. 56) Everflow's SOC 2 compliance audits, assessments, or reports; and (No. 57) third-party auditor concerns, complaints, or findings regarding Everflow's SOC 2 compliance. Everflow appears to acknowledge that it is withholding responsive documents.

Everflow states it produced SOC 2 reports for 2022 and 2023 as the documents “most plainly encompassed by the request.” Everflow also argues it produced “documents responsive to a reasonable interpretation” of the request. That is not the standard for discovery. GRANTED. Everflow must produce all documents responsive to the requests. If Everflow withholds documents under a claim of privilege, it must provide a privilege log.

Request for Production No. 60: This request seeks documents related to plaintiff’s reports and complaints about Everflow’s publisher onboarding process and data privacy concerns. Everflow’s response is inconsistent. Everflow states that no responsive documents exist following a diligent search. But Everflow also asserts that the request “seeks documents protected from disclosure by the attorney-client privilege and/or attorney work-product doctrine.” Everflow also acknowledges in its opposition that it produced “communications located from Plaintiff that referenced the ‘publisher onboarding process,’ as well as Slack messages despite the absence of any responsive reports or complaints.” (Opposition, 11:8-14.) GRANTED. Everflow must provide a further response that resolves the inconsistency and produces all documents responsive to the request. If Everflow withholds documents under a claim of privilege, it must provide a privilege log.

Sanctions

Plaintiff is entitled to sanctions. Among other things, Everflow cited an inapplicable Federal Rule of Civil Procedure; asserted a claim of privilege without providing a privilege log; provided inconsistent and contradictory responses; and withheld responsive documents without substantial justification. Everflow and its counsel of record, jointly and severally, must pay plaintiff sanctions in the amount of \$3,000 (consisting of six hours at \$500/hour). Those sanctions must be paid no later than September 15, 2026. Everflow’s request for sanctions is denied.

Conclusion

The motion to compel is GRANTED. Everflow is ordered to provide supplemental verified responses, as described in this order. Everflow must consecutively number all responsive documents with a new set of Bates-stamping that will supersede the previous two Bates-ranges. Everflow must identify the specific request number to which each Bates range responds. (Code Civ. Proc., § 2031.280, subd. (a).) Any claim of privilege must be supported by a privilege log. (Code Civ. Proc., § 2031.240, subd. (c)(1).) And Everflow and its counsel of record, jointly and severally, must pay plaintiff sanctions in the amount of \$3,000 (consisting of six hours at \$500/hour). The supplemental production and sanctions are due no later than September 15, 2026.

The court will prepare the order.

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Calendar Line 7

Case Name: Tyreece Baldon et al. v. Jake Ta et al.

Case No.: 25CV471961

Plaintiff Tyreece Lamar Baldon (Plaintiff) was employed by defendant Bluegreen Vacations Unlimited, Inc. (Bluegreen) from July 28, 2022, until their termination on April 3, 2025. The original and still operative complaint alleges “Plaintiff is African American/Hispanic/Latino, identifies as non-binary, and has disabilities including generalized anxiety disorder, depression, panic attacks, and insomnia.” (Complaint at ¶ 16.) The complaint alleges that from April 2024 through June 2024, Plaintiff’s coworker defendant Jake Ta (Ta) subjected Plaintiff to severe harassment. The complaint alleges Ta called Plaintiff a “faggot,” making discriminatory comments about Plaintiff’s appearance and gender identity, and told Plaintiff to “be a real man.” (*Id.* at ¶ 23.) The complaint alleges Plaintiff’s supervisor, defendant Christopher Stewart (Stewart), interfered with and prevented Plaintiff from reporting Ta’s wrongful conduct to human resources. (*Id.* at ¶ 25.) The complaint further alleges that throughout their employment, Defendants refused to use Plaintiff’s chosen name “Ty” in company systems and communications. (*Id.* at ¶ 26.)

Plaintiff reported the foregoing conduct to human resources. (See Complaint at ¶ 25.) Plaintiff took medical leave in August 2024 as a result of the ongoing harassment and discrimination. (*Id.* at ¶ 29.) Defendants terminated Plaintiff’s employment in April 2025 while Plaintiff was on leave. (*Ibid.*) Plaintiff alleges the “termination was pretextual and done in retaliation for Plaintiff’s complaints of discrimination, harassment, retaliation, and requests for accommodation.” (*Ibid.*)

Plaintiff filed the complaint in August 2025. It alleges thirteen causes of action arising under the California Fair Employment and Housing Act (FEHA), including: (1) race discrimination; (2) gender and sexual orientation discrimination; (3) disability discrimination and failure to accommodate; (4) retaliation; (5) retaliation in violation of Labor Code section 1102.5; (6) failure to prevent discrimination, harassment, and retaliation; (7) interference and retaliation; (8) harassment; (9) constructive discharge; (10) wrongful termination; (11) failure to engage in good faith interactive process; (12) retaliation for requesting/taking California Family Rights Act leave in violation of Government Code section 12945.2; and (13) failure to provide reasonable disability accommodation.

Defendants Bluegreen, Hilton Grand Vacations Company LLC, and Ta (collectively, Defendants) now petition to compel arbitration based on an Arbitration Agreement (the Agreement) Defendants argue Plaintiff signed electronically on July 27, 2022. The court will deny the petition to compel arbitration based on the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021 (EFAA; 9 U.S.C. §§ 401–402).

OBJECTIONS TO EVIDENCE

Defendants object to Plaintiff’s evidence submitted in support of their opposition. The court rules on those objections as follows:

Objection Nos. 1-28 are **OVERRULED**. These paragraphs of Plaintiff’s declaration are relevant to the execution of the Agreement.

Objection Nos. 29-32 are OVERRULED. Defendants have produced two versions of the Arbitration Agreement and did not clarify which one controls until filing their reply brief.

Objection No. 33, 34, 35 are SUSTAINED. Plaintiff draws improper legal conclusions about whether they agreed to arbitrate and give up their right to pursue their claims in court.

Objection Nos. 36 & 37 are OVERRULED. Defendants have attached both versions of the Arbitration Agreement to their moving papers.

Objection Nos. 38-40, 42, 43, and 44 are DISREGARDED. The court does not rely on the exhibits challenged by those objections.

Objection No. 41 is OVERRULED. Defendants rely on the same screenshot depicting the acknowledgement page of the Arbitration Agreement bearing Plaintiff's employee name and identification number.

THE FEDERAL ARBITRATION ACT APPLIES

The Federal Arbitration Act (FAA) controls, based on the language of the Agreement and because Defendants' operations affect interstate commerce. The Agreement provides "[t]he parties agree that the Federal Arbitration Act ('FAA') applies to this Agreement because the Company's business involves interstate commerce. This Agreement is to be enforced under the FAA, and not individual state substantive and procedural laws regarding the enforcement of arbitration agreements." Accordingly, pursuant to the Agreement, the California Arbitration Act (CAA) does not apply.

The basic coverage provision of the FAA "makes the law applicable to contracts evidencing a transaction 'involving commerce' (9 U.S.C. § 2), which language reflects that Congress intended the law's coverage to extend to the full reach of its commerce clause power." (*Nieto v. Fresno Beverage Co.* (2009) 33 Cal.App.5th 274, 279, internal citations omitted.) "Congress' Commerce Clause power 'may be exercised in individual cases without showing any specific effect upon interstate commerce' if in the aggregate the economic activity in question would represent 'a general practice . . . subject to federal control.'" (*Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 56-57, quoting *Mandeville Island Farms, Inc. v. American Crystal Sugar Co.* (1948) 334 U.S. 219, 236.)

Defendant is engaged in interstate commerce because "Bluegreen Vacations operates a points-based vacation club, through which it markets and sells vacation ownership interests and club memberships. Bluegreen Vacations promotes these products and services through in-store kiosks and marketing activities at Bass Pro Shops locations throughout the United States." (Declaration of Michelle Miller at ¶ 2.) Given the broad reach of the Commerce Clause, the court concludes that Defendant's operations affect interstate commerce. And "[e]mployment contracts, except for those covering workers engaged in transportation, are covered by the FAA." (*EEOC v. Waffle House, Inc.* (2002) 534 U.S. 279, 289.)

Under the FAA, the court's role is limited to determining "(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue." (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine "whether a valid contract to arbitrate exists," courts apply "ordinary state

law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093, citations omitted; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

ANALYSIS

There is a Valid Agreement to Arbitrate

Defendants lodged two versions of the Arbitration Agreement with their petition to compel arbitration. Defendants clarify on reply that the version attached to the Declaration of Lonnie D. Giamela is the Agreement they seek to enforce. That version includes a footer titled “BLUEGREEN ARBITRATION AGREEMENT 7-18.” Defendants clarify that the Declaration of Michelle Miller and the accompanying screenshots pertain to this Agreement. The court will construe the version of the Agreement attached to the Giamela declaration alongside the exhibits attached to the Miller declaration. The version of Agreement Defendants seek to enforce does not contain the limitation (contained in the other version of the agreement) that arbitration shall not apply to claims for sexual harassment or sexual assault. This version of the Agreement also does not contain a signature block for Bluegreen.

“A proceeding to compel arbitration ‘is in essence a suit in equity to compel specific performance of a contract.’ ” (*Juen Alain Pinel Realtors, Inc.* (2019) 32 Cal.App.5th 972, 978.) The “ ‘party seeking arbitration bears the burden of proving the existence of an arbitration agreement by a preponderance of the evidence, and the party opposing arbitration bears the burden of proving by a preponderance of the evidence any defense.’ ” (*Ibid.*) “ ‘An essential element of any contract is the consent of the parties, or mutual assent.’ ” (*Serafin v. Balco Properties Ltd, LLC* (2015) 235 Cal.App.4th 165, 173.) “ ‘Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understandings.’ ” (*Ibid.*)

“A party’s acceptance of an agreement to arbitrate may be express, as whether a party signs the agreement.” (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777.) And under Civil Code section 1633.7, “an electronic signature has the same legal effect as a handwritten signature.” (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The authenticity of an electronic signature may be established by detailing the “security precautions regarding transmission and use of an applicant’s unique username and password, as well as the steps an applicant would have to take to place his or her name on the signature line of the employment agreement.” (*Id.* at p. 1062.) “An arbitration clause within a contract may be binding on a party even if the party never actually read the clause.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.)

Bluegreen’s assent is conveyed by the Agreement itself. The Agreement is part of a policy drafted by Bluegreen, is titled “Bluegreen Entities Arbitration Agreement”, and is being relied on by Defendants. (*Serafin v. Balco Properties Ltd., LLC* (2015) 235 Cal.App.4th 165, 176 [noting that the arbitration agreement was conveyed to the employee by the agreement itself because it was part of a policy drafted by the employer on the company’s letterhead and accepted by the employee as a condition of employment].)

Regarding Plaintiff's assent, Michelle Miller, the former Senior HRS Product Analyst for Bluegreen at the time of Plaintiff's hire, declares that Bluegreen's policy was to provide all newly hired employees an arbitration agreement to review and sign. (Miller Decl. at ¶ 3.) Onboarding documents were emailed, and employees could sign at their own pace with no execution deadline. (*Ibid.*) To transmit the onboarding paperwork, Bluegreen used "Dayforce", a password-protected portal. (Miller Decl. at ¶ 5.) Dayforce emails the employee's personal address a secure link with first-time login credentials. (*Ibid.*) The employee must reset the password on initial login. (*Ibid.*) Each document is reviewed electronically and signed by checking an acknowledgment box and entering the date. (Miller Decl. at ¶ 6.) Dayforce's audit trail automatically records the employee's name, document executed, and the exact date/time of execution. It would reflect a different signer's name if anyone else signed the documents. (*Ibid.*)

Miller declares Plaintiff was the only person who could have logged into their Dayforce account. (Miller Decl. at ¶ 10.) Their unique username and password and assigned employee ID were used to execute the Arbitration Agreement. (*Ibid.*) According to Miller, the records reflect that Plaintiff checked the acknowledgment box, entered the date, and thereby electronically signed the Agreement. (*Ibid.*) She declares that because of Dayforce's safeguards and company business practices, no one within Bluegreen or Hilton Grand Vacations could have signed the Arbitration Agreement on Plaintiff's behalf. (Miller Decl. at ¶ 11.)

There are two relevant exhibits: a copy of the Agreement Defendants seek to enforce (ex. B to the Giamela dec.), and screenshots of an audit trail of Plaintiff's Dayforce account (ex. B to the Miller dec.).

The Agreement's last page provides, "By clicking 'I Accept', you are: (a) acknowledging receipt of this document; and (b) agreeing that I am submitting my signature electronically and using an electronic signature to demonstrate my acceptance of this Arbitration Agreement." (Declaration of Lonnie D. Giamela, Ex. B at Ex. A, p. 4.) The Agreement further provides "[y]ou acknowledge that your electronic signature is legally binding as a handwritten ink signature." (*Ibid.*) This version of the Agreement has no "Accept" button or other method of signing the document.

The audit trail shows that Plaintiff's first-time access email was sent to ty.baldon@bluegreenvacations.com. (Miller Decl., Ex. B, Screenshot 1.) While this reflects a company email address, Miller maintains that is consistent with company policy because Plaintiff was hired as a manager. (*Id.* at ¶ 8.) Managerial employees are issued company email accounts to complete onboarding. (*Ibid.*) Records show Plaintiff logged into Dayforce on July 26, 2022, and was required to reset their password, which they did. (Miller Decl., Ex. B, Screenshot 2.) Defendants attach a screenshot of the acknowledgement section of the Agreement dated July 27, 2022, bearing Plaintiff's name and employee number. (*Id.*, Screenshot 5.) The checkbox is marked for the text, "I accept and acknowledge the company policy above." (*Ibid.*) Defendants also attach a screenshot of the workflow audit trail showing when the Agreement was completed. (*Id.*, Screenshot 4.) According to these records, Plaintiff executed the Arbitration Agreement on the day before their start date on July 27, 2022, at 8:27 p.m., along with 11 other onboarding documents. (*Id.*, Screenshots 3 & 6.)

The foregoing evidence is adequate to find mutual assent. Plaintiff declares they do not recall signing the Agreement, did not use or was not familiar with Dayforce, and did not have knowledge of or access to the employee email account. (Declaration of Tyreece Lamar Baldon at ¶¶ 4, 10, 15.) But “[a]n arbitration clause within a contract may be binding on a party even if the party never actually read the clause.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) And the audit trail provides credible evidence that contradicts Plaintiff’s self-serving declaration statements. There is a valid agreement to arbitrate.

The EFAA Precludes the Arbitration of Plaintiff’s Claims

The scope of the Agreement is broad enough to cover Plaintiff’s claims. The Agreement applies to disputes “arising out of or related to the Employee’s application for employment, employment, or termination of employment with the company.” (Giamela Decl., Ex. B at Ex. A, § B, ¶ 1(a).) The enumerated disputes include, inter alia, “. . . retaliation, any other tort, contract, equitable, statutory, or constitutional claim . . . any claims of discrimination or harassment prohibited by applicable law, including statutory and/or common law claims of discrimination or harassment on the basis of age, race, national origin, religion, disability, sex/gender, color, or citizenship.” (*Id.*, Ex. B. at Ex. A, § B, ¶ 1(b).) Plaintiff has sued Defendants for discrimination, harassment, retaliation, and failure to prevent discrimination and harassment.

But the Agreement must be considered in light of the EFAA. The EFAA provides that “at the election of the person alleging conduct constituting a sexual harassment dispute or sexual assault dispute, “no predispute arbitration agreement . . . shall be valid or enforceable with respect to a case which is filed under Federal, Tribal, or State law and relates to the sexual assault dispute or the sexual harassment dispute.” (9 U.S.C. § 402, subd. (a).)

“There is a split among federal district courts in and outside the Ninth Circuit about the appropriate standard for determining ‘the allegations that are necessary to invoke the EFAA in the first place and to determine whether the statute is applicable to the case.’” (*MacKay v. PetSmart, Inc.* (C.D. Cal. Dec. 2, 2025) EDCV 25-1626 JGB (DTBx), 2025 U.S. Dist. LEXIS 168963, citing *Diaz-Roa v. Hermes Law, P.C.* (S.D.N.Y. 2024) 757 F.Supp. 3d 498 (*Diaz-Roa*).) Some courts have relied on the pleading standard set forth under Federal Rule of Civil Procedure 12(b)(6) for failure to state a claim, while others have relied on the plausibility standard. (*Van De Hey v. EPAM Sys.* (N.D.Cal. Feb. 28, 2025) 24-cv-08800-RFL, 2025 U.S. Dist. LEXIS 48775 at p. 8.)

A recent Court of Appeal decision affirmed a trial court’s order denying a petition to compel arbitration on similar facts. (*Decloedt v. Radnet Management, Inc.* (2026) 121 Cal.App.5th 732, 744.) Decloedt sued his former employers and coworkers, alleging among other things FEHA violations of harassment because of his sexual orientation. (*Id.* at p. 738.) The trial court denied a petition to compel arbitration, finding that Decloedt had alleged a claim of sexual harassment under EFAA. The *Decloedt* court affirmed. The court found that “harassment on the basis of sexual orientation amounts to sexual harassment under FEHA.” (*Id.* at p. 741.) “[A]lthough ‘homosexuality and transgender status are distinct concepts from sex,’ ‘discrimination based on homosexuality or transgender status necessarily entails discrimination based on sex’ for the purposes of title VII.” (*Decloedt*, at p. 742. quoting *Bostok v. Clayton County* (2020) 590 U.S. 644, 669.) “Assuming arguendo the pleading

standard in [Federal Rule of Civil Procedure] 12(b)(6) applies,” the court further concluded that “Decloedt sufficiently alleged [a defendant] subjected him to severe or pervasive harassment because of his sexual orientation.” (*Id.* at p. 744.)

Government Code section 12940, subdivision (j)(1) prohibits “harassment” based upon “sex” or “sexual orientation.” “Courts have recognized two theories of actionable sexual harassment under FEHA. The first is quid pro quo harassment, where a term of employment is conditioned upon submission to unwelcome sexual advances. The second is hostile work environment, where the harassment is sufficiently pervasive so as to alter the conditions of employment and create an abusive work environment.” (*Mokler v. County of Orange* (2007) 157 Cal.App.4th 121, 141, internal quotation marks and citations omitted.) Plaintiff alleges harassment based on a hostile work environment.

To establish a prima facie case of a hostile work environment, [the plaintiff] must show “that (1) [plaintiff] is a member of a protected class; (2) [plaintiff] was subjected to unwelcome harassment; (3) the harassment was based on [plaintiff’s] protected status; (4) the harassment unreasonably interfered with [plaintiff’s] work performance by creating an intimidating, hostile, or offensive work environment; and (5) defendants are liable for the harassment.” (*Ortiz v. Dameron Hospital Assn.* (2019) 37 Cal.App.5th 568, 581.) In sum, “[a] claim for hostile environment sexual harassment exists under the FEHA where the plaintiff was subject to unwelcome conduct or comments because of his or her sex and the result was harassment so severe or pervasive that the conditions of plaintiff’s employment were altered.” (*Pantoja v. Anton* (2011) 198 Cal.App.4th 87, 114.)

“Sexually harassing conduct need not be motivated by sexual desire.” (Gov. Code, § 12940, subd. (j)(4)(C); see *Taylor v. Nabors Drilling USA, LP* (2014) 222 Cal.App.4th 1228, 1240 [“California courts have recognized that a sexual motive or interest is not required for sexual harassment under the FEHA.”]; *Pantoja, supra*, 198 Cal.App.4th at p. 114; *Singleton v. United States Gypsum Co.* (2006) 140 Cal.App.4th 1547, 1564.) “In every case, however, the plaintiff must show a discriminatory intent or motivation based on gender.” (*Pantoja, supra*, 198 Cal.App.4th at p. 114.) Although sex discrimination and sexual harassment are distinct causes of action, FEHA still “regard[s] the prohibition against sexual harassment part and parcel of the proscription against sexual discrimination.” (*Lyle v. Warner Brothers Television Productions* (2006) 38 Cal.4th 264, 278.)

“Whether the conduct of the alleged harassers was sufficiently severe or pervasive to create a hostile or abusive working environment depends on the totality of the circumstances. ‘These may include the frequency of the discriminatory conduct; its severity; whether it is physically threatening or humiliating, or a mere offensive utterance; and whether it unreasonably interferes with an employee’s work performance.’ [Citations.] ‘Common sense, and an appropriate sensibility to social context, will enable courts and juries to distinguish between simple teasing or roughhousing...and conduct [that] a reasonable person in the plaintiff’s position would find severely hostile or abusive.’ ” (*Rehmani v. Super. Ct.* (2012) 204 Cal.App.4th 945, 951-952.) “A single incident of harassing conduct is sufficient to create a triable issue regarding the existence of a hostile work environment if the harassing conduct has unreasonably interfered with the plaintiff’s work performance or created an intimidating, hostile, or offensive working environment.” (Gov. Code, § 12923, subd. (b).)

“FEHA imposes two standards of employer liability for sexual harassment, depending on whether the person engaging in the harassment is the victim’s supervisor or a nonsupervisory coemployee. The employer is liable for harassment by a nonsupervisory employee only if the employer (a) knew or should have known of the harassing conduct and (b) failed to take immediate and appropriate corrective action.” (*State Dept. of Health Services v. Superior Court* (2003) 31 Cal.4th 1026, 1040-1041.)

The complaint sufficiently alleges a claim for harassment on the basis of sexual orientation under FEHA. The complaint alleges that from April 2024 to June 2024, Ta subjected Plaintiff to severe harassment. The complaint alleges Ta used homophobic slurs, including “faggot”; made discriminatory comments about Plaintiff’s appearance and gender identity; and told Plaintiff to “be a real man.” (Complaint at ¶ 23.) The complaint alleges “Ta also engaged in workplace sabotage by damaging Plaintiff’s equipment, causing marketing materials to go missing, stealing promotional tickets, and recruiting staff to competitors.” (*Ibid.*) The complaint alleges Plaintiff’s supervisor, Stewart, was aware of Ta’s wrongful conduct and prevented Plaintiff from reporting this behavior to human resources. (Complaint at ¶ 25.) The complaint alleges that throughout Plaintiff’s employment, Defendants refused to use Plaintiff’s chosen name “Ty” in company systems and communications. (*Id.* at ¶ 26.) Consistent with *Decloedt*, the court concludes the EFAA precludes arbitration of this action.

The statutory text of the EFAA invalidates an arbitration agreement with respect to the entire case, and not just the specific sexual harassment cause of action. (*Doe v. Second Street Corp.* (2024) 105 Cal.App.5th 552, 573-577.) “By its plain language, then, the statute applies to the entire *case*, not merely to the sexual assault or sexual harassment claims alleged as part of the case. It is significant, moreover, that the statute does not require that the pendant claims *arise out of* the sexual assault or sexual harassment dispute; it is enough that the case *relates to* the sexual assault or sexual harassment claims.” (*Id.* at p. 577.) The arbitration agreement is unenforceable as to each cause of action alleged in Plaintiff’s complaint. The petition to compel arbitration is DENIED.

CONCLUSION

The petition to compel arbitration is DENIED.

The court will prepare the order.

- oo0oo -

Calendar Line 8

Case Name: Aline Whitman v. Brent Roles, et al.

Case No.: 25CV479483

This action arises from a dispute between Plaintiff Aline Whitman (Plaintiff) and Defendant Brent Roles (Defendant) over the sale and purchase of real property located in Mountain View, California. This is the second lawsuit related to the dispute.

Plaintiff filed the operative, unverified first amended complaint (FAC) in January 2026, alleging two causes of action: (1) breach of the covenant of good faith and fair dealing; and (2) interference with prospective economic advantage. The caption refers to a third cause of action, but the FAC itself has no allegations related to a third cause of action.

According to the FAC, Plaintiff was a tenant of property located at 1226 Phyllis Avenue, Mountain View, CA 94040 (Property). (FAC, ¶ 12.) The property was owned by Plaintiff's aunt. Defendant bought the property at a foreclosure sale in December 2021. Plaintiff and Defendant agreed that Defendant would purchase the Property and lease it back to Plaintiff with an offer to purchase. (*Id.* at ¶ 13.) After purchasing the Property, Defendant refused to honor the agreement with Plaintiff. (*Id.* at ¶ 14.) Plaintiff sued defendant. (*Whitman v. Roles*, Santa Clara County Super. Ct. case No. 22CV398532 (*Whitman I*)).

The parties settled *Whitman I* in March 2025. (FAC at ¶ 15.) Under the Settlement Agreement, Mutual Release, and Conditional Stipulated Agreement (Settlement Agreement), Plaintiff agreed to purchase the Property from Defendant for \$2,500,000. (FAC, ¶ 16(a).) Plaintiff agreed to pay rent to Defendant until the sale of the Property. (*Id.* at ¶ 16(c).) If Plaintiff did not purchase the Property or close escrow by October 24, 2025, Plaintiff was required to vacate the Property. (*Id.* at ¶ 16(a), (d).)

The FAC alleges Plaintiff obtained approval for a mortgage loan with Bank of America in August 2025 to buy the Property. (FAC, ¶ 18.) Plaintiff learned that a \$300,000 deed of trust owed to Dutchints Development, LLC erroneously appeared as a lien on the Property. (FAC, ¶ 20.) Plaintiff informed Old Republic Title Company (Old Republic) that the loan had been paid off years earlier. (*Id.* at ¶ 21.) Old Republic issued a new preliminary title report removing the lien in late August 2025. (*Id.* at ¶ 22.) Defendant's agent filed a fraud claim with Old Republic in early September 2025 based on the lien. (*Id.* at ¶ 23.) Old Republic cancelled its services, leaving Plaintiff been unable to secure title insurance or complete the transaction despite her diligence. (*Id.* at ¶ 24.)

Judgment was entered in *Whitman I* by ex parte order in late October 2025. (Exh. B to Defendant's RJN.) The court in *Whitman I* later denied an ex parte application by Plaintiff to stay execution of a writ of possession for the Property. (Exh. F to Defendant's RJN.)

At issue is Defendant's demurrer and motion to strike, filed in the same document. Plaintiff filed a late opposition to this motion, and Defendant filed a late reply. The court will exercise its discretion to consider both untimely filings. (*Bozzi v. Nordstrom, Inc.* (2010) 186 Cal.App.4th 755, 765.) The parties and their counsel are admonished to comply with applicable filing deadlines in future filings.

REQUEST FOR JUDICIAL NOTICE

“Judicial notice may not be taken of any matter unless authorized or required by law.” (Evid. Code, § 450.) A precondition to judicial notice in either its permissive or mandatory form is that the matter to be noticed be relevant to the material issue before the court. (*Silverado Modjeska Recreation and Park Dist. v. County of Orange* (2011) (*Silverado*) 197 Cal.App.4th 282, 307.) Evidence Code section 453, subdivision (b), requires a party seeking notice to “[furnish] the court with sufficient information to enable it to take judicial notice of the matter.”

The court grants Defendant’s request for judicial notice of the following court filings from *Whitman I*:

Exhibit B: October 2025 Stipulated Judgment and Order for Possession of Premises (October 2025 Stipulated Judgment);

Exhibit D: Plaintiff’s Memorandum of Points and Authorities in Support of Ex Parte Application for Order Staying Execution of Writ of Possession (Ex Parte for Stay);

Exhibit F: November 2025 order denying Plaintiff’s ex parte application (November 2025 order).

As court records, they are proper subjects for judicial notice. (Evid. Code, § 452, subd. (d).) The court also takes judicial notice, on its own motion, of two facts related to *Whitman I*: (1) Defendant filed an ex parte application in *Whitman I* to enter the October 2025 Stipulated Judgment; and (2) Plaintiff did not oppose that application. (*Ibid.*) Defendant’s request for judicial notice of the remaining documents and facts is denied as not necessary or relevant. (*Silverado, supra*, 197 Cal.App.4th at p. 307.)

LEGAL STANDARDS FOR DEMURRER

In ruling on a demurrer, the court accepts as true all properly pleaded material factual allegations but does not accept as true contentions, deductions or conclusions of fact or law. (*Valero v. Spread Your Wings, LLC* (2023) 88 Cal.App.5th 243, 253 (*Valero*).) Code of Civil Procedure section 430.60 states that “[a] demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded.” The California Rules of Court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (Cal. Rules of Court, rules 3.1103(c), 3.1112(a), 3.1320(a) [“Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses.”].)

The court cannot consider extrinsic evidence when ruling on a demurrer. This includes declarations. The court has considered the declaration from defense counsel filed in support of the demurrer only to the extent it discusses the meet and confer efforts required by statute. Code of Civil Procedure section 430.41, subdivision (a), requires a demurring party to meet and confer “in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer.” Emails do not satisfy that standard. But a failure to meet and confer is not a basis to overrule a demurrer. (Code Civ. Proc., § 430.41, subd. (a)(4).)

DISCUSSION

Defendant demurs to the first cause of action for breach of the covenant of good faith and fair dealing on the ground of collateral estoppel. Defendant also demurs to the first and second causes of action on the ground that each fails to state facts sufficient to constitute a cause of action.

Collateral Estoppel

A general demurrer lies where the facts alleged in the complaint or matters judicially noticed show that a plaintiff's claim is barred by collateral estoppel. (*Boeken v. Philip Morris USA, Inc.* (2010) 48 Cal.4th 788, 792.) Collateral estoppel bars relitigating issues that were argued and decided in a prior action. (*DKN Holdings LLC v. Faerber* (2015) 61 Cal.4th 813, 824.) Collateral estoppel applies "(1) after final adjudication (2) of an identical issue (3) actually litigated and necessarily decided in the first suit and (4) asserted against one who was a party in the first suit or one in privity with that party." (*Id.* at p. 825.) An issue is actually litigated when it is properly raised, by the pleadings or otherwise, and is submitted for determination and is determined. (*Ayala v. Dawson* (2017) 13 Cal.App.5th 1319, 1330.) "[C]ollateral estoppel should not be applied if there was no opportunity for a full presentation of the issue in the first proceeding." (*Wright v. Ripley* (1998) 65 Cal.App.4th 1189, 1193 (*Wright*) [finding collateral estoppel did not bar a malicious prosecution action following a grant of summary judgment in an earlier action where the court refused to award sanctions without specifying the reasons for the refusal].)

The FAC raises the same argument and issue raised in Plaintiff's Ex Parte for Stay in *Whitman I*. Plaintiff's Ex Parte for Stay sought to stay execution of a writ of possession for the Property pending a hearing on a motion to vacate the October 2025 Stipulated Judgment. (RJN, Ex. D.) Plaintiff argued that Defendant directly interfered with her ability to perform the terms of the Settlement Agreement. (RJN, Ex. D at p. 1:14-16.) Plaintiff further argued that that interference was a pretense for Defendant to seek judgment for possession of the Property. (*Ibid.*) Plaintiff contended that she would likely succeed on the merits of her claim that Defendant breached the Settlement Agreement. (*Id.* at p. 5:22-23.) The court in *Whitman I* (Judge Pennypacker) ultimately denied the ex parte application. (RJN, Ex. F.) The court's four-sentence order stated, in relevant part, "The parties agreed to this process; [Plaintiff] is not likely to succeed in undoing it." (*Ibid.*)

The *Whitman I* court's November 2025 Order did not finally adjudicate an issue actually litigated by the parties. The ex parte procedure did not provide an "opportunity for a full presentation of the issue in the first proceeding." (*Wright, supra*, 65 Cal.App.4th at p. 1193.) The November 2025 Order, at most, determined that Plaintiff was "not likely to succeed" in vacating the October 2025 Stipulated Judgment. It did not make any final determination on the issues raised in this action. (*Barker v. Hull* (1987) 191 Cal.App.3d 221, 226 ["A mere showing that affidavits were submitted may not be sufficient to carry the burden of proving that the issue was actually litigated. Denial of a motion does not establish an estoppel if the basis for the denial cannot be determined."].) Plaintiff's failure to oppose Defendant's ex parte application that led to entry of the October 2025 Stipulated Judgment also does not have a collateral estoppel effect. (See *Murphy v. Murphy* (2008) 164 Cal.App.4th 376, 401[" 'Clearly, a former judgment is not a collateral estoppel on issues which might have been raised but were not; just as clearly, it is a collateral estoppel on issues which were raised,

even though some factual matters or legal arguments which could have been presented were not.”].)

Nor does the October 2025 Stipulated Judgment itself bar the current action. A stipulated judgment can have a preclusive effect only if the parties manifest an intent to be collaterally bound by its terms. (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664; *Ferraro v. Camarlinghi* (2008) 161 Cal.App.4th 509, 541.) Here, the language of the October 2025 Stipulated Judgment does not manifest such an intent. At most, it waives the right to appeal. (RJN, Ex. B, p. 3:16-17.)

The demurrer to the first cause of action on the ground of collateral estoppel is overruled.

Demurrer Based on Failure to State Sufficient Facts

First Cause of Action – Breach of the Implied Covenant of Good Faith and Fair Dealing

Defendant argues that the first cause of action fails to allege: (1) that all preconditions for Defendant’s performance of the Settlement Agreement occurred; (2) that Defendant prevented Plaintiff from benefitting from the Settlement Agreement; and (3) that Defendant acted in bad faith.

“There is an implied covenant of good faith and fair dealing in every contract that neither party will do anything which will injure the right of the other to receive the benefits of the agreement.” (*Comunale v. Traders & General Ins. Co.* (1958) 50 Cal.2d 654, 658.) “In California, the factual elements necessary to establish a breach of the covenant of good faith and fair dealing are: (1) the parties entered into a contract; (2) the plaintiff fulfilled his obligations under the contract; (3) any conditions precedent to the defendant’s performance occurred; (4) the defendant unfairly interfered with the plaintiff’s rights to receive the benefits of the contract; and (5) the plaintiff was harmed by the defendant’s conduct.” (*Rosenfeld v. JPMorgan Chase Bank, N.A.* (N.D. Cal. 2010) 732 F. Supp.2d 952, 968.)

The FAC alleges Plaintiff and Defendant entered into the Settlement Agreement, and that Plaintiff fully performed. (FAC, ¶¶ 26, 29.) After learning about the erroneous \$300,000 lien, Plaintiff informed Old Republic of the error. (*Id.* at ¶ 30.) Old Republic issued a new preliminary title report that removed the lien. (*Ibid.*) But Defendant’s agent filed a fraud claim with Old Republic shortly thereafter, causing Old Republic to cease its services. (*Id.* at ¶ 31.) The FAC alleges Defendant’s fraud claim was designed to prevent closing of escrow on the Property. (*Id.* at ¶ 32.) The FAC adequately alleges a cause of action for breach of the implied covenant of good faith and fair dealing.

Defendant argues the FAC fails to allege the preconditions for Defendant’s performance because the lien created a condition that prevented his ability to convey clear title. (Demurrer, p. 9:1-3.) Defendant also contends that he did not act in bad faith or prevent Plaintiff from benefitting from the Settlement Agreement. (Demurrer, p. 9:6-7, 9:23-24.) Defendant argues that because he contacted Old Republic as part of his contractual obligation to convey clear title, he acted to the benefit of both parties in good faith. These arguments overlook the allegations that a new preliminary title clearing the lien was issued in late August

2025, before Defendant initiated its fraud claim in early September 2025 and the deadline to close escrow in October 2025. (FAC, ¶¶ 16(a), 16(d), 30-31.) Defendant's arguments would require the court to weigh evidence, which the court cannot do on demurrer.

The demurrer to the first cause of action for failure to state sufficient facts is overruled.

Second Cause of Action – Interference with Prospective Economic Advantage

Defendant argues the second cause of action fails to state sufficient facts because: (1) it fails to allege a future economic benefit; (2) Defendant cannot be liable for interference because he had a direct financial interest in the loan approval; and (3) the FAC does not allege an independently wrongful act designed to disrupt the relationship.

As an initial matter, the court notes that the demurrer provides a rule statement for intentional interference with prospective economic advantage, instead of the negligent interference with prospective economic advantage cause of action alleged in the FAC. (Compare Demurrer, p. 10:2-9 with FAC, ¶ 35.) The demurrer also discusses cases about the tort of intentional interference with contract, which is not relevant to the tort alleged in the FAC.

Negligent interference with prospective economic advantage has six elements: (1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) the defendant's actual or constructive knowledge that the relationship would be disrupted if defendant failed to act with reasonable care; (4) defendant's failure to act with reasonable care; (5) actual disruption of the relationship; and (6) economic harm proximately caused by the defendant's action. (*Venhaus v. Shultz* (2007) 155 Cal.App.4th 1072, 1078.)

The FAC alleges that Defendant negligently interfered with the economic relationship between Plaintiff and Bank of America as lender. (FAC, ¶¶ 35-36.) The relationship would have led to a future economic benefit—i.e., financing to purchase the Property. (*Id.* at ¶ 36.) Defendant knew of the relationship because Plaintiff's agent informed him of Plaintiff's loan approval. (*Id.* at ¶ 37.) Defendant failed to exercise reasonable care and interfered with the relationship by filing a fraud claim with Old Republic. (*Id.* at ¶ 44.) The fraud claim caused Old Republic to cancel its services. (*Id.* at ¶ 24.) Consequently, Plaintiff could not secure title insurance, which interfered with her agreement with Bank of America. (*Id.* at ¶ 45.) The foregoing adequately states a cause of action for negligent interference with prospective economic advantage.

Defendant argues the FAC does not allege facts establishing how a prospective debt could constitute a future economic benefit between Plaintiff and Bank of America. (Demurrer, p. 10:11-16.) But the FAC identifies the future economic benefit as secured financing for Plaintiff's purchase of the Property. (FAC, ¶ 36.) The allegation is accepted as true for purposes of demurrer. (*Valero, supra*, 88 Cal.App.5th at p. 253.)

Defendant next argues that because it had an interest in the loan approval, it cannot be liable for interference with its execution. (Demurrer, p. 11:5-9.) Defendant cites *Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 514 for the proposition that

“the tort cause of action for interference with contract does not lie against a party to the contract.” That case is distinguishable because it involved a cause of action for intentional interference with contract. *PM Group, Inc. v. Stewart* (2007) 154 Cal.App.4th 55, 65, is distinguishable for the same reason.

Defendant argues the FAC fails to identify the wrongful act that disrupted the economic relationship. (Demurrer, p. 12:7-8.) But the FAC identifies Defendant’s fraud claim as the wrongful act. The FAC alleges Defendant’s fraud claim with Old Republic prevented Plaintiff from securing title insurance, which prevented Plaintiff from proceeding with the agreement with Bank of America. (FAC, ¶¶ 24, 44-45.) The FAC alleges Defendant acted negligently in making the fraud claim. Defendant’s representation that the fraud claim was “legitimate” is inconsistent with the FAC’s allegations and would require the court to weigh evidence, which it cannot do on demurrer. The second cause of action’s allegations are adequate to survive demurrer.

The demurrer to the second cause of action on the ground of the failure to state sufficient facts is overruled.

LEGAL STANDARDS FOR MOTION TO STRIKE

Under Code of Civil Procedure section 436, a court may strike out any irrelevant, false, or improper matter inserted into any pleading, or strike out all or part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. This includes pleadings that seek an improper remedy. (*PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680.) The grounds for a motion to strike must appear on the face of the challenged pleading or from matters of which the court may take judicial notice. (Code Civ. Proc., § 437, subd. (a).) In ruling on a motion to strike, the court reads the challenged pleading as a whole and assumes the truth of all well-pleaded allegations. (*Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 63.)

Here, Defendant seeks to strike the following:

1. Text on the caption page stating a third cause of action for “Intentional Interference with Contract”;
2. The entire paragraph 2 of the prayer for relief alleging: “For an order requiring Defendants to show cause, if they have any, why they should not be enjoined as set forth below, during the pendency of the action”;
3. The entire paragraph 3 of the prayer for relief alleging: “For a temporary restraining order, preliminary and permanent injunction preventing Defendants, or anyone acting in concert with them, from collecting on the subject loan until the amount of the loan is determined and from causing the Property to be sold, assigned, transferred to a third-party, or taken by anyone or any entity”; and
4. The demand for “disgorgement” and “injunctive relief” alleged in paragraph 4 of the prayer for relief.

Plaintiff acknowledges that items 1 and 3 must be stricken. Defendant's motion to strike the Intentional Interference with Contract and the entirety of paragraph 3 of the prayer for relief is granted without leave to amend. Plaintiff asserts, however, that the remaining items are not subject to strike.

Paragraph 2 of the prayer for relief seeks a preliminary injunction. Code of Civil Procedure section 527, subdivision (a) provides in relevant part, "A preliminary injunction may be granted at any time before judgment upon a verified complaint, or upon affidavits if the complaint in the one case, or the affidavits in the other, show satisfactorily that sufficient grounds exist therefor." The FAC is unverified. Plaintiff submits no affidavits showing sufficient grounds to grant a preliminary injunction. The same reasoning applies to the portion of paragraph 4 of the prayer for relief seeking "injunctive relief." The challenged language must be stricken.

Defendant argues that the demand for "disgorgement" in paragraph 4 of the prayer for relief must be stricken because there is no factual or legal basis for Plaintiff's request. The FAC does not allege Defendant took any money from Plaintiff. There is no basis for disgorgement.

Plaintiff's opposition does not meet the burden to identify how an amendment could cure the defects identifies in the motion to strike. The court will nonetheless grant leave to amend because this is the first pleading challenge. (*Price v. Dames & Moore* (2001) 92 Cal.App.4th 355, 360.)

Defendant's motion to strike the entirety of paragraph 2 of the prayer for relief and the demand for "disgorgement" and "injunctive relief" in paragraph 4 of the prayer for relief is granted with leave to amend.

CONCLUSION

The demurrer to the first cause of action on the ground of collateral estoppel is overruled.

The demurrer to the first and second causes of action on the ground of the failure to state sufficient facts is overruled.

The motion to strike "Intentional Interference with Contract" from the caption page and paragraph 3 of the prayer for relief in its entirety is granted without leave to amend.

The motion to strike paragraph 2 of the prayer for relief in its entirety and the demand for "disgorgement" and "injunctive relief" in paragraph 4 of the prayer for relief is granted with leave to amend. The court does not grant leave to add any new parties or causes of action. (*Zakk v. Diesel* (2019) 33 Cal.App.5th 431, 456.)

Any amended complaint must be filed and served no later than September 14, 2026. The deadline for a responsive pleading will be either 30 days after the amended complaint is filed and served, or 30 days after September 14, 2026 (if no amended complaint is filed).

The court will prepare the order. - oo0oo -